

Significant Accounting Policies — NFRS

Document: Significant Accounting Policies (Extract)

Framework: Nepal Financial Reporting Standards (NFRS)

1. Revenue recognition

Revenue is recognised in accordance with NFRS 15 — *Revenue from Contracts with Customers*. Revenue is recognised when control of the goods is transferred to the customer, generally on dispatch from the factory gate (Incoterms: EXW). Sales returns are estimated based on historical experience and recognised as a reduction in revenue.

2. Inventories

Inventories are stated at the lower of cost and net realisable value (NFRS 2). Cost is determined on a weighted-average basis for raw materials and a standard-cost basis for finished goods (with periodic variance adjustments).

3. Property, Plant and Equipment

PPE is stated at cost less accumulated depreciation. Depreciation is provided on a straight-line basis over the estimated useful lives: Buildings 30 years; Plant & Machinery 10 years; Vehicles 5 years; Furniture 7 years; Computer equipment 4 years.

4. Financial instruments

Financial assets and liabilities are recognised and measured in accordance with NFRS 9. Trade receivables are measured at amortised cost. Expected credit losses are estimated using a simplified provision matrix based on ageing buckets.

5. Borrowing costs

Borrowing costs directly attributable to the acquisition or construction of qualifying assets are capitalised. All other borrowing costs are expensed in the period in which they are incurred.

6. Related party transactions

Related party transactions are disclosed in accordance with NAS 24. All such transactions are conducted at arm's length where practicable. Where arm's-length pricing cannot be demonstrated, this fact is disclosed.

This is a synthetic teaching document. No real entity is referenced. Himal Trading & Manufacturing Pvt. Ltd. is fictional.